Dragon Hoards as Monetary Policy: Smaug and the Deflationary Trap

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The standard histories treat the sack of Erebor as a security event. This is an accounting error. What Smaug executed in T.A. 2770 was the largest monetary contraction in recorded history: the withdrawal of an entire region's specie stock from circulation, consolidated under a single balance sheet, held at zero velocity for 171 years (Reconstruction Economics 3018).

1 The mechanics of a dragon-induced deflation

Dale and Erebor ran a metallic standard. When the gold left circulation — all of it, in one afternoon — the price level had nowhere to go but down, and the regional economy contracted along exactly the path the older literature on specie drains would predict (Grubb and Burrowes 2941). Wages fell, then employment, then the towns themselves. Lake-town's subsequent two centuries of stagnation are usually blamed on geography. Geography did not eat the money supply.

What makes the case theoretically clean is the dragon's demand function. Smaug held gold for neither transaction nor investment purposes; the hoard generated no lending, no seigniorage, nothing. His famous remark about knowing every coin in the pile (Baggins 2941) describes, in effect, a central banker running a full-reserve policy with a personal grudge. The literature on liquidity traps assumes the zero lower bound is a floor made of arithmetic; in Erebor it was a floor made of dragon.

2 The reflation of 2941

The Battle of the Five Armies is conventionally studied as a military engagement. Monetarily, it was a disorderly quantitative easing: the entire consolidated hoard re-entered circulation within a decade, distributed across dwarven reconstruction, Dale's rebuilding, and a modest fourteenth share carried west in two small chests (Baggins 2942). The regional recovery that followed was rapid, broad, and — as Gamgee (3020) notes in his study of post-war agricultural prices — mildly inflationary for exactly the reasons one would hope.

The episode thus provides both halves of the experiment: contraction by hoard, reflation by burglary. Few monetary interventions have been so thoroughly documented by their own instrument.

3 What the auditor saw

This author's field observation of the hoard remains, so far as he knows, the only physical inspection of a dragon-held reserve portfolio (Baggins 2941). Two findings deserve emphasis.

First, mark-to-market valuation of a hoard is meaningless when the market comprises one dragon and no bids. Second — and practitioners underestimate this — the custody arrangements were impeccable. Nothing was missing. It is the *velocity*, not the security, of a nation's money that keeps it alive.

There is a lesson here for modern reserve managers, but this author is a respectable hobbit and will let the reader draw it.

4 References

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